

Customs Valuation

Assists Supplemental Payments

By

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Customs Valuation: Assists

19 U.S.C. 1401a(b)(1) states:

The transaction value of imported merchandise is the price actually paid or payable for the merchandise . . . plus amounts equal to . . . the value, apportioned as appropriate, of any assist . . .

Customs Valuation: Assists

Assists are defined (19 U.S.C. 1401a(h)) as:

- (i) Materials, components, parts, and similar items incorporated in the imported merchandise.
- (ii) Tools, dies, molds, and similar items used in the production of the imported merchandise.
- (iii) Merchandise consumed in the production of the imported merchandise.
- (iv) Engineering, development, artwork, design work, plans and sketches that are undertaken elsewhere than in the United States and are necessary for the production of the imported merchandise.

Customs Valuation: Assists

- To be treated as an "assist" the article or design must be:
 - Supplied directly or indirectly by the buyer
 - Provided free of charge or at reduced cost,
 - used in connection with the production or sale for export to the United States of the merchandise

Valuing Assists (19 CFR 152.103(d))

- How do we value an assist?
 - Cost of its acquisition if acquired by the buyer from an unrelated seller
 - Cost of production (including R & D) if the assist was produced by the buyer or party related to the buyer.
 - The value of the assist must include transportation costs to the place of production.

Valuing an assist

- 544323 dated Mar. 8, 1990 (542144 dated Feb. 4, 1981 (TAA No. 16) and 542412 dated Mar. 27, 1983 (TAA No. 20))
 - The cost of acquiring an assist is its purchase price plus actual transportation costs.
 - The cost of procuring an assist, i.e., receiving inspection, and warehouse costs are not part of the value of an assist.
 - Commissions or fees paid to acquire an assist is a part of its value.

Adjustments To Assist Values

- If the tools, dies, molds, or similar item has been used previously by the buyer
- the original cost of acquisition or production will be adjusted downward to reflect its use before its value is determined.
- Repairs or modifications to an assist will increase its value

Apportioning of the value of assists (Section 152.103(e))

- If the entire anticipated production using the assist is for exportation to the United States, the total value may be apportioned over:
 - the first shipment, if the imported wishes to pay duty on the entire value at once
 - the number of units produced up to the time of the first shipment, or
 - the entire anticipated production.
- HQ 548547, March 7, 2006. Reasonableness of design fee allocation

Apportionment of assists

- If the anticipated production is only partially for exportation to the United States, or if the assist is used in several countries
 - the method of apportionment will depend upon the documentation submitted by the importer. Section 152.103(e)
- “Under” Allocation of Tooling costs. HQ W563531 October 27, 2006
 - tooling charge was added to the purchase price by allocating the total tooling costs over forecasted quantity expected to be ordered within 15 months of the initial order
 - Company actually order less
 - reimbursed the vendors for their tooling costs by creating an "under-amortized" factory ledger to pay for any tooling costs still due to the vendor.
 - Customs has looked to the intent of the parties, the evidence presented and found the apportionment of such costs acceptable if it is reasonable

Depreciation Of Assists

Treatment of Tools, Molds and Equipment vs. Materials

- 543233 dated Aug. 9, 1984
 - If a mold which is supplied free of charge to the foreign manufacturer is depreciated to zero on the books of the importer in a manner consistent with generally accepted accounting principles,
 - the value of the assist will be limited to the cost incurred in transporting the assist to the place of production..
- 542356 dated Apr. 13, 1981 (TAA No. 24); 542477 dated July 27, 1981
 - In determining the value of fabric furnished without charge to an unrelated assembler, the cost of acquisition to the importer (from an unrelated party) must be used, not the depreciated cost as reflected on the importer's books.

Depreciation Of Assists

- **542302 dated Feb. 27, 1981 (TAA No. 18)**
 - Machinery may be apportioned on a yearly basis at the depreciated cost as reflected on the books of the importer, assuming the depreciation is determined in accordance with generally accepted accounting principles.
- **544243 dated Oct. 24, 1988; 544256 dated Nov. 15, 1988**
 - If in accordance with generally accepted accounting principles, the value of an assist provided to the seller is fully depreciated according to the importer's records, then the value of the assist is limited to the cost of transporting the assist to the place of production..

Depreciation Of Assists

- **HQ 543450 dated June 25, 1985:**
 - While the value of fully depreciated assists is limited to transportation costs to the foreign plant, capital assets which are permitted to be expensed by GAAP are not necessarily assets with a zero book value for Customs valuation purposes.
 - Such assets require the determination as to what, if any, book value remains if being depreciated over their useful lives.

Valuing An Assist

- HQ 542948 dated Nov. 29, 1982 (TAA No. 55)
 - The value of the assist is the full cost of acquisition, which includes any research and development costs incurred in producing the chip, whether it is fabricated in the United States or elsewhere.
- HQ 548568, dated 10/19/2004
 - Cost of production of an assist is to include the value of any license or royalty fee payments made for the design, manufacturing, or process rights to manufacture or produce the article
 - Would include any NRE or related expenses, such as masks or tooling costs

Tooling Costs

- **543405 dated June 21, 1985.**
 - Where imported merchandise consists of components which are sold by the importer to the foreign assembler at a price which does not include the cost of tooling used in the production of the components, the components are considered assists since they are provided at a reduced cost.
- **543405 dated June 21, 1985**
 - Since the transfer price between the importer and Taiwanese assembler does not reflect tooling costs, the parts are provided at a reduced cost and therefore, constitute dutiable assists.
- **543096 dated June 21, 1983 (TAA No. 63), 544201 dated Dec. 12, 1988.**
 - Freight and related transportation charges paid by a buyer in connection with shipments of material to a foreign assembler are assists.

Equipment

- General purpose equipment supplied by a buyer free or at a reduced charge is an assist. **542122 dated Sep. 4, 1980 (TAA No. 4).**
- Air conditioning equipment, power transformers, telephone switching equipment, emergency generators, and other equipment not used in the production of imported goods, are not assists. **542302 dated Feb. 27, 1981 (TAA No. 18); 542762 dated Jan. 14, 1983; 544261 dated Feb. 28, 1989; 544421 dated Apr. 3, 1990; 544480 dated Sep. 21, 1990.**

Test equipment

- Test equipment provided free of charge to the foreign manufacturer by the U.S. importer will constitute an assist within the meaning of section 402(h)(1)(A) of the TAA if the equipment is:
 - used for testing during the production process and
 - Testing is essential to the production of the product. **544508 dated June 19, 1990.**
 - HQ H023814, June 2, 2008.
 - ICT fixtures are dutiable assists in the transaction value of imported power conversion and control systems
 - The ICT fixture is a tool that performs the testing which contributes directly to the manufacture of the PCBA's, is clearly used in the production of the PCBA's, and contributes to a higher yield of functioning PCBA's.

Services Provide Abroad

- 1401a(h) (A) (iv)
 - Engineering, development, artwork, design work, and plans and sketches that are **undertaken elsewhere than in the United States** and are **necessary for the production** of the imported merchandise.
- (B) No service or work to which subparagraph (A)(iv) applies shall be treated as an assist for purposes of this section if such service or work:
 - is performed by an individual who is **domiciled within the United States**;
 - is performed by that individual while he is **acting as an employee or agent of the buyer** of the imported merchandise; and
 - is **incidental** to other engineering, development, artwork, design work, or plans or sketches that are undertaken within the United States.

Services Provide Abroad— When is work “incidental” ?

- When considering whether services provided by a buyer to a manufacturer located abroad constitute an assist, one must
 - distinguish between those services that are completely unrelated to the production of the imported merchandise and
 - those that are necessary for the production of the imported merchandise. See 546782 (December 2, 1999).

Services Provide Abroad— When is work “incidental” ?

- In HQ 546054 (October 23, 1996)
 - Following “services” were held part of the development of the imported merchandise and necessary for the production of the imported merchandise:
 - review technical development issues and technical problems that the manufacturers have in complying with design and development requests of the importer;
 - confirm the specifications agreed to between the importer and the manufacturers;
 - evaluate trial samples at each stage of trial production, and work with the manufacturers and the importer when necessary;
 - evaluate the final sample of the merchandise to be produced by the manufacturers;
 - attend the manufacturers' trial mass production run to determine if the goods were made in conformity with the agreed upon design.

Services Provide Abroad— When is work “incidental” ?

- HQ 548540, July 28, 2004
 - Held that U.S. employees of US Company working at foreign manufacturing location and providing technical design services are providing an assist
 - The technical designer does not create the design.
 - The technical designer becomes involved once an order has been placed.
 - After the pattern has been created, the technical designer looks at the pre-production pattern to test fit and conducts points of measurement to determine if it meets all design specifications.
 - Technical Design Manager—Manage a team of technical designers of which three are U.S. nationals and one is a French national
 - CBP concludes that the duties of these positions are integrally involved in the production of the imported merchandise.

Quality Control Services

- Quality control services do not generally constitute an assist within the meaning the value law as set forth in 19 U.S.C. 402(h). See 546511 (April 15, 1999).
- Quality control that involves **production-related design** and **intimate involvement** in the nature of the goods produced, however, may be dutiable either as part of the price actually paid or payable or as an assist. (HQ 547006) (April 28, 1998).